

KYC Risk Rating Methodology

1. Overview

Each onboarding case receives a risk rating of Low, Medium or High. The rating drives the depth of due diligence and the approval authority required.

2. Rating Factors

Factors considered include customer type (Individual, Business, Government), jurisdiction risk, product complexity, expected transaction volume and the outcome of sanctions, PEP and adverse media screening.

3. Low Risk

A Low rating applies where screening results are Clear, the customer operates in a low-risk jurisdiction and the relationship is a standard product with modest expected volumes.

4. Medium and High Risk

A Medium rating requires any single Pending or Hit screening result. A High rating applies where a screening result is confirmed as a Hit, the customer operates in a high-risk jurisdiction, or the product line involves complex derivatives.

5. Enhanced Due Diligence

High-risk cases require enhanced due diligence: senior management sign-off, a documented source-of-funds review and an annual (rather than triennial) periodic review.